

Agentic Commerce Winner with New Near-Term Tailwinds -- Upgrade to Buy

We already had a positive bias toward SHOP -- fundamentals have been robust and agentic commerce should be a LT positive (our view [here](#)). We are upgrading SHOP to a Buy with a \$160 PT. 1) 3P data bolsters our confidence that 2Q results will beat consensus; 2) newly announced partner program changes should positively impact NT growth while lowering the LT S&M cost structure; and 3) we see a price increase as likely, which would be a source of upside in 2027.

**Well-Positioned in Agentic Commerce.** As we wrote in March, we see SHOP as uniquely positioned to become the infrastructure layer for agentic commerce and the “agent enablement” toolkit for merchants. In our view, this positions SHOP to capture incremental GMV, drive higher merchant stickiness, and expand its role upstream in discovery over time as agents intermediate more of the buyer journey. We see agentic commerce as a modest GMV tailwind over the next several years.

**Restructuring Partner Incentives for Future Growth, Lower LT Expenses.** SHOP announced changes to partner commissions starting in Aug 2026. In effect, SHOP is tying earnouts directly to the value created on the platform. Our takeaways include: 1) partners have a greater incentive to sign larger merchants; 2) partners will likely invest more in post-launch merchant success; 3) additional offerings like B2B, POS, and Shopify Components are more in-focus; 4) the changes force partners to stay focused on new logo acquisition and cross-selling rather than sitting on an annuity-like revenue stream and 5) the long-term unit economics from partner-driven deals will improve as the commission stream is capped (See Exhibit 4). While any change brings risk, we see this as a long-term positive for both growth and margins.

**Is a Price Increase Around the Corner?** SHOP last raised prices on non-Plus SKUs in 2023 (33-34%) and on Plus plans in 2024 (25%). Since then, the company has rolled out a slew of features, most notably Sidekick, an AI assistant. SHOP has absorbed the costs related to Sidekick utilization. With more merchants using the tool and realizing value, SHOP is now positioned to raise prices. While mgmt has discussed the possibility without committing to a specific timeline or structure (platform-wide vs. consumption-based), we believe price action is on the horizon. *An increase similar to 2023 on non-Plus SKUs would be marginal in absolute dollars for a merchant but would result in a ~3-4% tailwind to our 2027 rev estimates (See Exhibit 1). More importantly, it would largely drop to the bottom line, leading to more material upside on profitability.*

**3P Data Suggests Robust GMV Growth in 2Q.** We looked at web traffic to shop.app subdomains and found a 94% correlation to GMV \$s between 1Q23-1Q26. Assuming continued pressure on GMV per visit (-32% y/y on avg in 2025) and a 1.5% q/q decline in-line with historical seasonality, we see room for material upside to consensus expectations for GMV growth of 27% y/y (See Exhibit 3).

| FY (Dec)   | 2024A   | 2025A    | 2026E    | 2027E    |
|------------|---------|----------|----------|----------|
| Rev. (MM)  | 8,880.0 | 11,556.0 | 14,678.0 | 17,566.3 |
| Cons. Rev. | 8,880.0 | 11,556.0 | 14,835.2 | 18,403.2 |
| EPS        | 1.26    | 1.42     | 1.78     | 2.24     |
| Cons. EPS  | 1.26    | 1.42     | 1.87     | 2.39     |

| RATING   TARGET CHANGE   |                              |
|--------------------------|------------------------------|
| RATING                   | ↑ BUY (HOLD)                 |
| PRICE                    | \$123.17 <sup>A</sup>        |
| PRICE TARGET   % TO PT   | ↑ \$160.00 (\$140.00)   +30% |
| 52W HIGH-LOW             | \$182.19 - \$94.00           |
| FLOAT (%)   ADV MM (USD) | 92.9%   1,096.33             |
| MARKET CAP               | \$161.1B                     |
| TICKER                   | SHOP                         |

<sup>A</sup>Prior trading day's closing price unless otherwise noted.

| FY (Dec) | CHANGE TO JEF <sup>e</sup> |      | JEF vs CONS |      |
|----------|----------------------------|------|-------------|------|
|          | 2026                       | 2027 | 2026        | 2027 |
| REV      | NA                         | NA   | -1%         | -5%  |
| EPS      | NA                         | NA   | -5%         | -6%  |

| 2026 (\$) | Q1A  | Q2   | Q3   | Q4   | FY   |
|-----------|------|------|------|------|------|
| EPS       | 0.36 | 0.37 | 0.44 | 0.61 | 1.78 |
| PREV      |      |      |      |      |      |

Exhibit 1 - Uplift to 2027 Subscription, Total Rev from Non-Plus SKU Price Increase

| 2027 Forecast                                  | Base Model   | 25% Non-Plus SKU Increase | 30% Non-Plus SKU Increase | 35% Non-Plus SKU Increase |
|------------------------------------------------|--------------|---------------------------|---------------------------|---------------------------|
| Core Software                                  | \$2,872,983  | \$3,324,053               | \$3,414,267               | \$3,504,481               |
| Core Software Rev - Plus                       | \$1,068,702  | \$1,068,702               | \$1,068,702               | \$1,068,702               |
| Core Software Rev - Non-Plus                   | \$1,804,281  | \$2,255,351               | \$2,345,565               | \$2,435,779               |
| Apps, Themes, Domain, and Platform Fee Revenue | \$700,172    | \$700,172                 | \$700,172                 | \$700,172                 |
| Subscription Rev                               | \$3,579,154  | \$4,624,224               | \$4,114,438               | \$4,204,652               |
| Merchant Solutions Rev                         | \$13,993,106 | \$13,993,106              | \$13,993,106              | \$13,993,106              |
| Total Revenue                                  | \$17,566,261 | \$18,017,331              | \$18,107,545              | \$18,197,759              |
| Lipault to Subscription Rev                    |              | 12.6%                     | 15.1%                     | 17.7%                     |
| Lipault to Total Rev                           |              | 2.6%                      | 3.1%                      | 3.6%                      |

Source: Company Data, Jefferies

Exhibit 2 - Partner Earnout Changes Reduce Payouts Over the LT  
Company Data, Jefferies

| Assumptions: Continued Earnings Growth in Annual Eligible Online and 2026 in Annual Retail Only |        |        |        |        |        |        |        |        |        |         |        |               |             |
|-------------------------------------------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|--------|---------------|-------------|
|                                                                                                 | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 | 2026A  | 10 Year Total | Assumptions |
| Current                                                                                         | 128    | 128    | 128    | 128    | 128    | 128    | 128    | 128    | 128    | 128     | 1,212  | 1,100         | 10 Years    |
| Change                                                                                          | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0       | 2,477  | 5,871         | +5 Years    |
|                                                                                                 |        |        |        |        |        |        |        |        |        |         | Change | 2,477         | +5 Years    |

| Plus Plan Merchant, Later Annual, Generating \$10M in Annual Eligible Online and 2026 in Annual Retail Only |        |        |        |        |        |        |        |        |        |         |        |               |             |
|-------------------------------------------------------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|--------|---------------|-------------|
|                                                                                                             | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 | 2026A  | 10 Year Total | Assumptions |
| Current                                                                                                     | 128    | 128    | 128    | 128    | 128    | 128    | 128    | 128    | 128    | 128     | 1,212  | 1,100         | 10 Years    |
| Change                                                                                                      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0      | 0       | 2,477  | 5,871         | +5 Years    |
|                                                                                                             |        |        |        |        |        |        |        |        |        |         | Change | 2,477         | +5 Years    |

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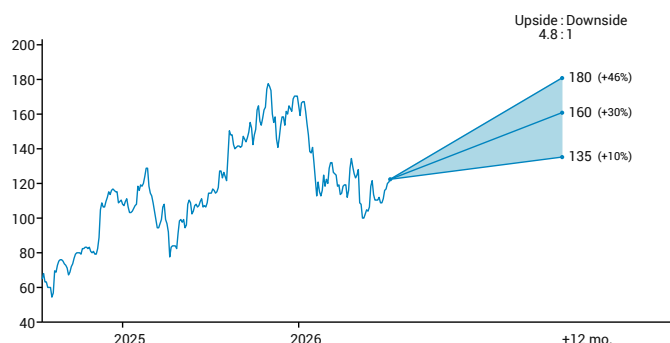
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## The Long View: Shopify

### Investment Thesis

- Our model functions on GMV growth rather than merchant count, which we think is a better way to project Shopify's growth opportunity
- We estimate the Merchant Solutions GMV take rate will expand by a few bps per year, sustaining healthy Merchant Solutions revenue growth even if GMV growth slows

### Risk/Reward - 12 Month View



### Base Case, \$160, +30%

- The company delivers low-to-mid-twenties % revenue growth for 2026-2027 and high-teens growth in 2028
- Op margin continues to expand in 2026 and 2027
- Shopify implements price increases on its subscription tiers at a moderate cadence (~3-4 years) with no increase to churn
- Shopify takes market share, measured as GMV \$ on the platform as a % of total retail e-commerce sales (ex-global e-commerce giants such as Amazon)
- The MS GMV take rate modestly increases each year due to merchant adoption of existing offerings incl. SFN
- Price target based on DCF

### Upside Scenario, \$180, +46%

- The company delivers 20%+ revenue growth for 2026-2028
- Margins expand more quickly than expected
- Shopify implements price increases on its subscription tiers at a faster pace and increase by more than expected
- Traction with larger merchants for Shopify Plus drives an acceleration in GMV growth, GPV penetration
- The MS GMV take rate increases quickly due to new additions to the Merchant Solutions portfolio
- Price target based on DCF

### Downside Scenario, \$135, +10%

- The company delivers low-teens or single-digit revenue growth for 2026-2028
- Op margin rises slower than expected over the medium term due to rising costs related to growth investments
- Shopify implements price increases on its subscription tiers at a slower pace than expected or increases drive increased churn
- Shopify fails to attract enough larger merchants to Shopify Plus
- The GMV take rate plateaus or declines as new and existing merchants do not adopt Merchants Solutions and Shopify fails to introduce new services that can monetize GMV
- Price target based on DCF

### Sustainability Matters

**Top Material Issue(s):** Customer Privacy: *shopify* has leveraged its platform of millions of merchants to conduct \$300B+ in annual sales with millions of buyers. Merchants use Shopify's platform to collect, retain, and leverage buyer data for payment collection, order management, targeted advertising, and other tasks. SHOP is tasked with appropriately managing access to this buyer data, as any mishandling could result in regulatory and reputational consequences.

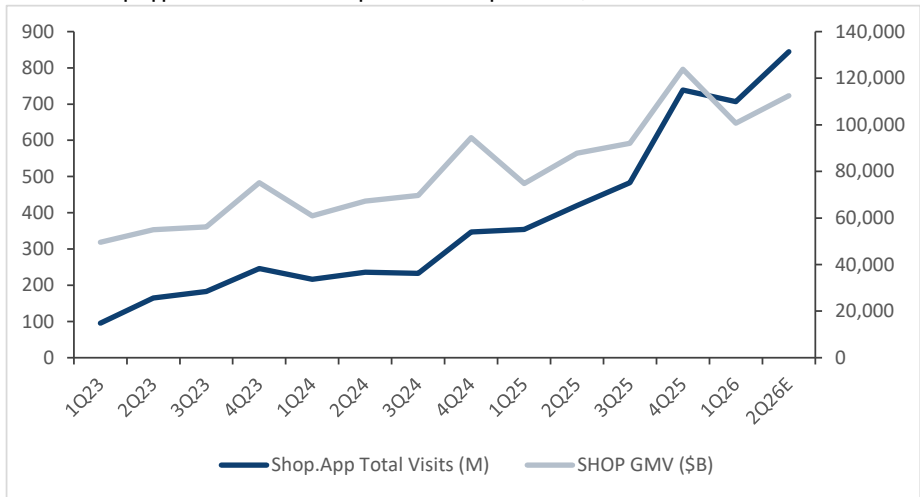
#### Company Target(s):NA

**Qs to Mgmt:** 1) *How* do you support merchants in both understanding and appropriately disclosing data privacy policies to their buyers? 2) *As* you design and build out Shopify Fulfillment Network, how are you managing its run-rate carbon impact to support your long-term climate goals? 3) *How* do you measure the success of the Shopify Sustainability Fund, and do you expect to leverage the technologies the fund supports in your daily business operations going forward? -- [ESG Sector Deep Dive: Software](#)

### Catalysts

- New Shopify Plus customer wins
- Increased traction with Enterprise merchants
- Agentic commerce achieving material scale
- Growth in International geos
- Growth in B2B, Offline
- Operating Margin expansion via opex efficiencies

Exhibit 3 - Shop.App Subdomain Traffic Implies Material Upside to 2Q26 GMV



Source: Company Data, SimilarWeb, Jefferies

**Restructured Partner Incentives Reduce Payouts Over the LT.** In the new partner incentive model announcement, SHOP provided illustrative examples of the impact to partner payouts in the old and new models. The examples demonstrate that payouts to partners are initially higher vs. the previous model, but eventually taper off as partners lapse the four-year cap.

For an Advanced plan merchant generating \$750K in annual eligible online GMV, total payouts in the first four years are 104% higher under the new model. However, the old and new models reach a breakeven point after ~8 years, after which cumulative payouts are lower under the new model. After ten years, the total payout is 18% lower under the new model.

Notably, larger merchants with higher annual GMV will take longer to reach a breakeven point vs. the old model.

For a Plus plan merchant generating \$10M in annual eligible online GMV and \$2M in annual retail GMV, and that was sales-assisted, total payouts in the first four years are 137% higher under the new model. Because the merchant's higher GMV generates a proportionally higher payout in the first four years, it takes ~11 years to reach breakeven vs. the old model.

Exhibit 4 - Partner Earnout Changes Reduce Payouts Over the LT

Company Data, Jefferies

| Advanced Plan Merchant Generating \$750K in Annual Eligible Online GMV |        |        |        |        |        |        |        |        |        |         |               |               |
|------------------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|---------------|---------------|
|                                                                        | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 | First 4 Years | 10-Year Total |
| Current                                                                | 718    | 718    | 718    | 718    | 718    | 718    | 718    | 718    | 718    | 718     | 2,872         | 7,180         |
| New                                                                    | 1,468  | 1,468  | 1,468  | 1,468  | 0      | 0      | 0      | 0      | 0      | 0       | 5,872         | 5,872         |
| Change                                                                 |        |        |        |        |        |        |        |        |        |         | 104%          | -18%          |

| Plus Plan Merchant, Sales-Assisted, Generating \$10M in Annual Eligible Online GMV and \$2M in Annual Retail GMV |        |        |        |        |        |        |        |        |        |         |               |               |
|------------------------------------------------------------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|---------|---------------|---------------|
|                                                                                                                  | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 | First 4 Years | 10-Year Total |
| Current                                                                                                          | 10,700 | 8,200  | 6,000  | 6,000  | 6,000  | 6,000  | 6,000  | 6,000  | 6,000  | 6,000   | 30,900        | 66,900        |
| New                                                                                                              | 20,220 | 17,720 | 17,720 | 17,720 | 0      | 0      | 0      | 0      | 0      | 0       | 73,380        | 73,380        |
| Change                                                                                                           |        |        |        |        |        |        |        |        |        |         | 137%          | 10%           |

**Continued Innovation Bolstering the Platform.** SHOP's Editions Spring 2026 release (see our recap [here](#)) underscores the company's ability to consistently innovate and expand the scope of its commerce platform, with more than 150 updates spanning AI, marketing automation, cross-border commerce, and merchant productivity. Key announcements included deeper agentic commerce capabilities through Shopify Catalog and AI-native checkout experiences, the launch of Campaign Autopilot to automate marketing spend across channels, significant enhancements to Sidekick as an AI-powered workflow hub, and continued expansion of Managed Markets. Collectively, the updates reinforce SHOP's positioning as the operating system and connective layer for commerce across

both traditional and emerging AI-driven channels, while increasing platform stickiness, strengthening merchant outcomes, and creating additional avenues for GMV growth and take-rate expansion over time. We expect SHOP to continue to iterate on the platform, bolstering its competitive moat and status as a best-in-class commerce platform.

**At the Forefront of Agentic Commerce.** In our March note (see [here](#)), we framed agentic commerce as the next interface shift in eCommerce. We believe this paradigm shift will re-architect the stack with value accruing to platforms that control transaction rails and merchant relationships. Against this backdrop, we see SHOP as uniquely positioned to become the infrastructure layer for agentic commerce and the "agent enablement" toolkit for merchants. In our view, this positions SHOP to capture incremental GMV, drive higher merchant stickiness, and expand its role upstream in discovery over time as agents intermediate more of the buyer journey.

Exhibit 5 - SHOP Positioned with Defensible Moat Across Agentic Commerce Ecosystem

| Layer                 | SHOP Status                                                                                                     | SHOP Impact             |
|-----------------------|-----------------------------------------------------------------------------------------------------------------|-------------------------|
| Interface / Discovery | SHOP integrates across all major LLMs                                                                           | + GMV                   |
| Decision Engine       | Adherence to UCP & robust merchant data optimizes SHOP merchant product catalogs in agentic decision making     | +GMV<br>+ Merchant Adds |
| Transaction           | Adherence to UCP and deeply integrated checkout establishes SHOP as default checkout rails for agentic commerce | + GMV<br>+ Retention    |
| Fulfillment           | SHOP owns merchant relationships & facilitates fulfillment via Shopify platform                                 | + Retention             |

Source: Jefferies

Based on our analysis and channel checks with merchants and agency partners, we believe GMV flowing through agentic commerce will likely represent a balanced mix of net new GMV and displaced GMV. Furthermore, we see SHOP benefiting from a GMV mix-shift to agentic commerce as more GMV flows to independent merchants, which SHOP disproportionately caters to.

If agentic commerce shifts just ~1-4% of global eCommerce GMV away from closed marketplaces and big-box platforms toward independent merchants (driven by agent-optimized discovery, better long-tail matching, and merchant-controlled checkout), this implies ~\$9-72B of GMV flowing toward the independent merchant ecosystem in 2028.

Assuming SHOP merchants capture 10-35% of this re-routed volume, this would represent \$0.9-25B of incremental GMV on the SHOP platform, before considering any lift from higher conversion or purchase frequency. This would drive an uplift of ~1-4% to our 2028 GMV forecast (see Exhibit 5).

Exhibit 6 - SHOP Could See Up to a ~4% Uplift to our 2028 GMV Forecast Just From GMV Re-Allocation Tied to Agentic Commerce

| SHOP 2028 GMV Uplift (\$)            |                                 |        |        |        |        |        |
|--------------------------------------|---------------------------------|--------|--------|--------|--------|--------|
| % Migration to Independent Merchants | % of Migration Captured by SHOP |        |        |        |        |        |
|                                      | 10%                             | 15%    | 20%    | 25%    | 30%    | 35%    |
| 0.5%                                 | 906                             | 1,359  | 1,812  | 2,265  | 2,719  | 3,172  |
| 1.0%                                 | 1,812                           | 2,719  | 3,625  | 4,531  | 5,437  | 6,343  |
| 1.5%                                 | 2,719                           | 4,078  | 5,437  | 6,796  | 8,156  | 9,515  |
| 2.0%                                 | 3,625                           | 5,437  | 7,250  | 9,062  | 10,874 | 12,687 |
| 2.5%                                 | 4,531                           | 6,796  | 9,062  | 11,327 | 13,593 | 15,858 |
| 3.0%                                 | 5,437                           | 8,156  | 10,874 | 13,593 | 16,311 | 19,030 |
| 3.5%                                 | 6,343                           | 9,515  | 12,687 | 15,858 | 19,030 | 22,202 |
| 4.0%                                 | 7,250                           | 10,874 | 14,499 | 18,124 | 21,749 | 25,373 |

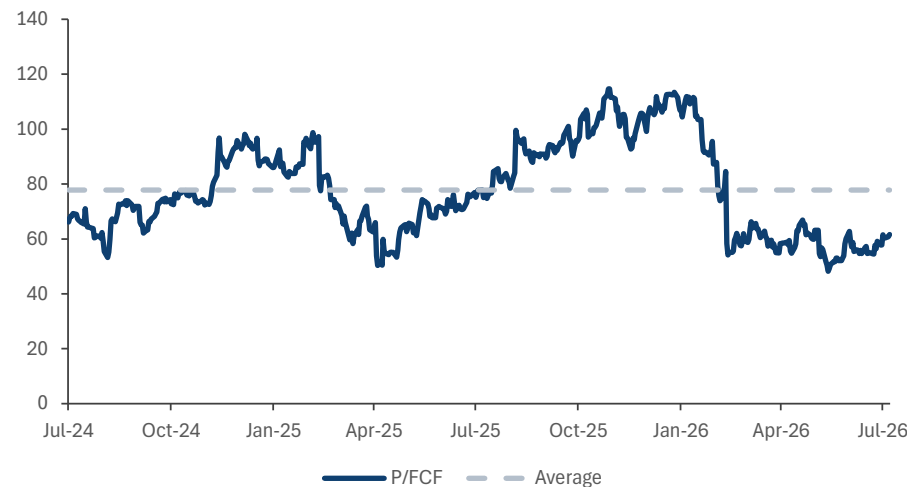
| SHOP GMV % Uplift vs. JEF 2028 Forecast |                                 |      |      |      |      |      |
|-----------------------------------------|---------------------------------|------|------|------|------|------|
| % Migration to Independent Merchants    | % of Migration Captured by SHOP |      |      |      |      |      |
|                                         | 10%                             | 15%  | 20%  | 25%  | 30%  | 35%  |
| 0.5%                                    | 0.1%                            | 0.2% | 0.3% | 0.3% | 0.4% | 0.5% |
| 1.0%                                    | 0.3%                            | 0.4% | 0.5% | 0.7% | 0.8% | 0.9% |
| 1.5%                                    | 0.4%                            | 0.6% | 0.8% | 1.0% | 1.2% | 1.4% |
| 2.0%                                    | 0.5%                            | 0.8% | 1.1% | 1.3% | 1.6% | 1.9% |
| 2.5%                                    | 0.7%                            | 1.0% | 1.3% | 1.7% | 2.0% | 2.3% |
| 3.0%                                    | 0.8%                            | 1.2% | 1.6% | 2.0% | 2.4% | 2.8% |
| 3.5%                                    | 0.9%                            | 1.4% | 1.9% | 2.3% | 2.8% | 3.2% |
| 4.0%                                    | 1.1%                            | 1.6% | 2.1% | 2.7% | 3.2% | 3.7% |

Source: Company Data, Jefferies

**See our full deep dive for more detail on agentic commerce mechanics and the impact to SHOP.**

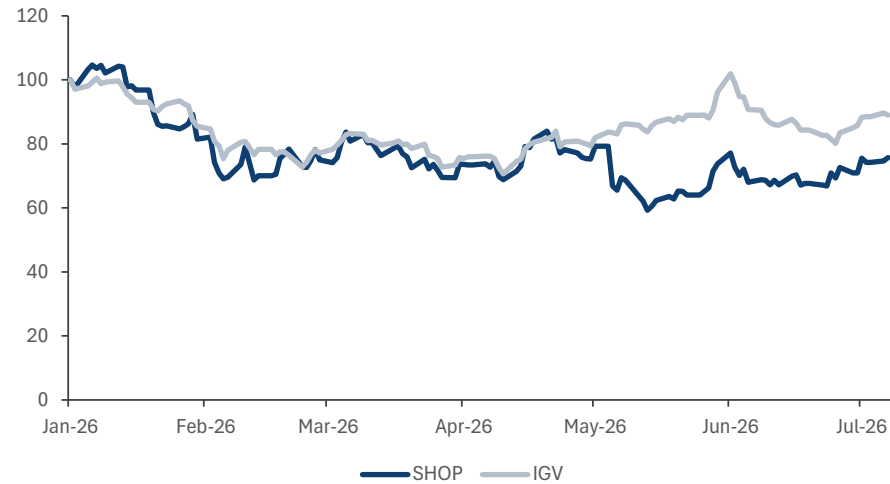
**Attractive Valuation for Premium Asset.** With shares having declined meaningfully from recent highs, we see an increasingly attractive entry point relative to SHOP's growth algo and strategic positioning. While uncertainty remains around consumer health and the timing of the agentic commerce ramp, we believe the market is underappreciating the durability of SHOP's GMV growth and its expanding TAM. At 40x P/FCF and 38x P/EPS on our 2028 estimates, we believe shares are positioned to re-rate higher as execution remains solid and new growth levers scale.

**Exhibit 7 - Trading Sharply Below 2-Yr Avg on P/FCF Basis**



Source: FactSet, Jefferies

**Exhibit 8 - Sharp YTD Underperformance vs. IGV (-15%)**



Source: FactSet, Jefferies

## Exhibit 9 - Income Statement

| Non-GAAP Income Statement<br>(in \$ thousands, except per share data) | FY25 End   | Fiscal 2026 by Quarter |           |           |           | FY26 End   | Fiscal 2027 by Quarter |           |           |           | FY27 End   | Fiscal 2028 by Quarter |           |           |           | FY28 End   |
|-----------------------------------------------------------------------|------------|------------------------|-----------|-----------|-----------|------------|------------------------|-----------|-----------|-----------|------------|------------------------|-----------|-----------|-----------|------------|
|                                                                       | 2025       | Mar-26                 | Jun-26E   | Sep-26E   | Dec-26E   | 2026E      | Mar-27E                | Jun-27E   | Sep-27E   | Dec-27E   | 2027E      | Mar-28E                | Jun-28E   | Sep-28E   | Dec-28E   | 2028E      |
| <i>Fiscal Year End: December</i>                                      |            | 1Q26                   | 2Q26E     | 3Q26E     | 4Q26E     |            | 1Q27E                  | 2Q27E     | 3Q27E     | 4Q27E     |            | 1Q28E                  | 2Q28E     | 3Q28E     | 4Q28E     |            |
| Subscription Revenue                                                  | 2,752,000  | 750,000                | 766,688   | 805,304   | 874,936   | 3,196,928  | 833,791                | 857,583   | 902,025   | 979,755   | 3,573,154  | 920,609                | 936,251   | 985,242   | 1,072,525 | 3,914,627  |
| Year-over-year growth                                                 | 17%        | 21%                    | 17%       | 15%       | 13%       | 16%        | 11%                    | 12%       | 12%       | 12%       | 12%        | 10%                    | 9%        | 9%        | 9%        | 10%        |
| Merchant Revenue                                                      | 8,804,000  | 2,420,000              | 2,678,234 | 2,774,010 | 3,608,855 | 11,481,099 | 2,938,955              | 3,306,325 | 3,421,032 | 4,326,795 | 13,993,106 | 3,519,215              | 3,959,117 | 4,096,387 | 5,181,056 | 16,755,776 |
| Year-over-year growth                                                 | 35%        | 39%                    | 32%       | 29%       | 25%       | 30%        | 21%                    | 23%       | 23%       | 20%       | 22%        | 20%                    | 20%       | 20%       | 20%       | 20%        |
| Total revenue                                                         | 11,556,000 | 3,170,000              | 3,444,922 | 3,579,314 | 4,483,791 | 14,678,028 | 3,772,746              | 4,163,908 | 4,323,057 | 5,306,549 | 17,566,261 | 4,439,824              | 4,895,368 | 5,081,629 | 6,253,582 | 20,670,402 |
| Year-over-year growth                                                 | 30%        | 34%                    | 29%       | 26%       | 22%       | 27%        | 19%                    | 21%       | 21%       | 18%       | 20%        | 18%                    | 18%       | 18%       | 18%       | 18%        |
| Total cost of revenue                                                 | 5,984,000  | 1,620,000              | 1,803,251 | 1,868,268 | 2,396,578 | 7,688,097  | 1,978,780              | 2,205,402 | 2,276,950 | 2,867,696 | 9,328,827  | 2,361,630              | 2,632,504 | 2,718,160 | 3,424,469 | 11,136,764 |
| Gross profit                                                          | 5,572,000  | 1,550,000              | 1,641,671 | 1,711,046 | 2,087,213 | 6,989,930  | 1,793,967              | 1,958,506 | 2,046,107 | 2,438,854 | 8,237,433  | 2,078,194              | 2,262,863 | 2,363,469 | 2,829,112 | 9,533,639  |
| Sequential growth                                                     |            | -9%                    | 6%        | 4%        | 22%       |            | -14%                   | 9%        | 4%        | 19%       |            | -15%                   | 9%        | 4%        | 20%       |            |
| Gross Margin                                                          | 48.2%      | 48.9%                  | 47.7%     | 47.8%     | 46.6%     | 47.6%      | 47.6%                  | 47.0%     | 47.3%     | 46.0%     | 46.9%      | 46.8%                  | 46.2%     | 46.5%     | 45.2%     | 46.1%      |
| Sales and marketing expense                                           | 1,615,000  | 485,000                | 506,404   | 493,945   | 538,055   | 2,023,404  | 565,912                | 574,619   | 583,613   | 615,560   | 2,339,704  | 657,094                | 665,770   | 675,857   | 712,908   | 2,711,629  |
| Percentage of revenue                                                 | 14.0%      | 15.3%                  | 14.7%     | 13.8%     | 12.0%     | 13.8%      | 15.0%                  | 13.8%     | 13.5%     | 11.6%     | 13.3%      | 14.8%                  | 13.6%     | 13.3%     | 11.4%     | 13.1%      |
| Research and development expense                                      | 1,202,000  | 340,000                | 372,052   | 350,773   | 363,187   | 1,426,011  | 392,366                | 408,063   | 397,721   | 413,911   | 1,612,061  | 452,862                | 469,955   | 457,347   | 475,272   | 1,855,436  |
| Percentage of revenue                                                 | 10.4%      | 10.7%                  | 10.8%     | 9.8%      | 8.1%      | 9.7%       | 10.4%                  | 9.8%      | 9.2%      | 7.8%      | 9.2%       | 10.2%                  | 9.6%      | 9.0%      | 7.6%      | 9.0%       |
| General and administrative expense                                    | 360,000    | 86,000                 | 99,903    | 96,641    | 112,095   | 394,639    | 98,579                 | 116,589   | 112,399   | 127,357   | 454,925    | 111,570                | 132,175   | 127,041   | 143,832   | 514,618    |
| Percentage of revenue                                                 | 3.1%       | 2.7%                   | 2.9%      | 2.7%      | 2.5%      | 2.7%       | 2.6%                   | 2.8%      | 2.6%      | 2.4%      | 2.6%       | 2.5%                   | 2.7%      | 2.5%      | 2.3%      | 2.5%       |
| % of GMV                                                              | 0.11%      | 0.12%                  | 0.10%     | 0.10%     | 0.10%     | 0.10%      | 0.10%                  | 0.09%     | 0.09%     | 0.09%     | 0.09%      | 0.10%                  | 0.09%     | 0.09%     | 0.09%     | 0.09%      |
| Total operating expenses                                              | 3,594,000  | 1,027,000              | 1,091,163 | 1,057,662 | 1,163,948 | 4,339,773  | 1,172,684              | 1,222,990 | 1,221,163 | 1,318,664 | 4,935,502  | 1,359,593              | 1,415,373 | 1,412,141 | 1,524,922 | 5,712,030  |
| Year-over-year growth                                                 | 20%        | 22%                    | 24%       | 14%       | 24%       | 21%        | 14%                    | 12%       | 15%       | 13%       | 14%        | 16%                    | 16%       | 16%       | 16%       | 16%        |
| Sequential growth                                                     |            | 9%                     | 6%        | -3%       | 10%       |            | 1%                     | 4%        | 0%        | 8%        |            | 3%                     | 4%        | 0%        | 8%        |            |
| % of Revenue                                                          | 31%        | 32%                    | 32%       | 30%       | 26%       | 30%        | 31%                    | 29%       | 28%       | 25%       | 28%        | 31%                    | 29%       | 28%       | 24%       | 28%        |
| p/p \$ change                                                         | 592,000    | 89,000                 | 64,163    | (33,501)  | 106,286   | 745,773    | 8,736                  | 50,306    | (1,827)   | 97,501    | 595,729    | 40,929                 | 55,780    | (3,232)   | 112,781   | 776,528    |
| Operating Income                                                      | 1,978,000  | 523,000                | 550,508   | 653,384   | 923,265   | 2,650,157  | 621,282                | 735,516   | 824,944   | 1,120,190 | 3,301,932  | 718,601                | 847,490   | 951,328   | 1,304,190 | 3,821,609  |
| Year-over-year growth                                                 | 33%        | 59%                    | 30%       | 41%       | 21%       | 34%        | 19%                    | 34%       | 26%       | 21%       | 25%        | 16%                    | 15%       | 15%       | 16%       | 16%        |
| Sequential growth                                                     |            | (31%)                  | 5%        | 19%       | 41%       |            | (33%)                  | 18%       | 12%       | 36%       |            | (36%)                  | 18%       | 12%       | 37%       |            |
| Operating Margin                                                      | 17.1%      | 16.5%                  | 16.0%     | 18.3%     | 20.6%     | 18.1%      | 16.5%                  | 17.7%     | 19.1%     | 21.1%     | 18.8%      | 16.2%                  | 17.3%     | 18.7%     | 20.9%     | 18.5%      |
| Interest and other expense                                            | 357,000    | 66,000                 | 66,000    | 71,823    | 78,683    | 282,506    | 90,849                 | 97,084    | 106,746   | 115,936   | 410,616    | 129,133                | 135,751   | 146,993   | 159,334   | 571,212    |
| Total other income (expense), net                                     | 357,000    | 66,000                 | 66,000    | 71,823    | 78,683    | 282,506    | 90,849                 | 97,084    | 106,746   | 115,936   | 410,616    | 129,133                | 135,751   | 146,993   | 159,334   | 571,212    |
| Income before tax                                                     | 2,335,000  | 589,000                | 616,508   | 725,207   | 1,001,948 | 2,932,663  | 712,132                | 832,600   | 931,690   | 1,236,126 | 3,712,548  | 847,734                | 983,241   | 1,098,321 | 1,463,524 | 4,392,820  |
| (Provision) benefit for income taxes                                  | (471,000)  | (118,000)              | (129,467) | (152,294) | (210,409) | (610,169)  | (149,548)              | (174,846) | (195,655) | (259,587) | (779,635)  | (178,024)              | (206,481) | (230,647) | (307,340) | (922,492)  |
| Effective tax rate                                                    | -20%       | -20%                   | -21%      | -21%      | -21%      | -21%       | -21%                   | -21%      | -21%      | -21%      | -21%       | -21%                   | -21%      | -21%      | -21%      | -21%       |
| Net income                                                            | 1,864,000  | 471,000                | 487,041   | 572,914   | 791,539   | 2,322,494  | 562,584                | 657,754   | 736,035   | 976,540   | 2,932,913  | 669,710                | 776,761   | 867,674   | 1,156,184 | 3,470,328  |
| EPS (Non-GAAP, fully diluted, Split Adj.)                             | \$1.42     | \$0.36                 | \$0.37    | \$0.44    | \$0.61    | \$1.78     | \$0.43                 | \$0.50    | \$0.56    | \$0.75    | \$2.24     | \$0.51                 | \$0.59    | \$0.66    | \$0.89    | \$2.66     |
| FD shares outstanding (Split Adj.)                                    | 1,309,553  | 1,307,755              | 1,308,898 | 1,307,101 | 1,308,243 | 1,307,999  | 1,307,589              | 1,307,345 | 1,306,935 | 1,306,691 | 1,307,140  | 1,306,038              | 1,306,487 | 1,305,385 | 1,305,834 | 1,305,936  |

Source: Company Data, Jefferies

## Exhibit 10 - Balance Sheet

| Balance Sheet                                    | FY25 End        | Fiscal 2026 by Quarter |                 |                 |                 | FY26 End        | Fiscal 2027 by Quarter |                 |                 |                 | FY27 End        | Fiscal 2028 by Quarter |                 |                 |                 | FY28 End        |
|--------------------------------------------------|-----------------|------------------------|-----------------|-----------------|-----------------|-----------------|------------------------|-----------------|-----------------|-----------------|-----------------|------------------------|-----------------|-----------------|-----------------|-----------------|
| (in \$ millions, except per share data)          | 2025            | Mar-26                 | Jun-26E         | Sep-26E         | Dec-26E         | 2026E           | Mar-27E                | Jun-27E         | Sep-27E         | Dec-27E         | 2027E           | Mar-28E                | Jun-28E         | Sep-28E         | Dec-28E         | 2028E           |
| Fiscal Year End: December                        |                 | 1Q26                   | 2Q26E           | 3Q26E           | 4Q26E           |                 | 1Q27E                  | 2Q27E           | 3Q27E           | 4Q27E           |                 | 1Q28E                  | 2Q28E           | 3Q28E           | 4Q28E           |                 |
| <b>ASSETS</b>                                    |                 |                        |                 |                 |                 |                 |                        |                 |                 |                 |                 |                        |                 |                 |                 |                 |
| Cash and equivalents                             | 1,545.0         | 1,848.0                | 2,354.7         | 2,951.6         | 4,010.3         | 4,010.3         | 4,552.8                | 5,393.5         | 6,193.2         | 7,341.5         | 7,341.5         | 7,917.4                | 8,895.7         | 9,969.4         | 11,374.0        | 11,374.0        |
| Investments in marketable securities             | 4,233.0         | 3,895.0                | 3,895.0         | 3,895.0         | 3,895.0         | 3,895.0         | 3,895.0                | 3,895.0         | 3,895.0         | 3,895.0         | 3,895.0         | 3,895.0                | 3,895.0         | 3,895.0         | 3,895.0         | 3,895.0         |
| Trade and other receivables                      | 500.0           | 449.0                  | 535.9           | 566.7           | 722.4           | 722.4           | 545.0                  | 601.5           | 624.4           | 840.2           | 840.2           | 690.6                  | 679.9           | 705.8           | 764.3           | 764.3           |
| Merchant cash advances                           | 1,784.0         | 2,097.0                | 2,044.1         | 2,183.2         | 1,801.3         | 1,801.3         | 2,534.0                | 2,739.1         | 2,962.4         | 2,436.5         | 2,436.5         | 3,192.5                | 3,101.8         | 3,363.0         | 3,630.4         | 3,630.4         |
| Income taxes receivable                          | -               | -                      | -               | -               | -               | -               | -                      | -               | -               | -               | -               | -                      | -               | -               | -               | -               |
| Other current assts                              | 234.0           | 206.0                  | 300.8           | 286.3           | 358.7           | 358.7           | 264.1                  | 249.8           | 259.4           | 490.9           | 490.9           | 333.0                  | 416.1           | 406.5           | 562.8           | 562.8           |
| <b>Total current assets</b>                      | <b>8,296.0</b>  | <b>8,495.0</b>         | <b>9,130.5</b>  | <b>9,882.8</b>  | <b>10,787.7</b> | <b>10,787.7</b> | <b>11,790.9</b>        | <b>12,879.0</b> | <b>13,934.4</b> | <b>15,004.1</b> | <b>15,004.1</b> | <b>16,028.5</b>        | <b>16,988.5</b> | <b>18,339.7</b> | <b>20,226.5</b> | <b>20,226.5</b> |
| <b>Long-term Assets</b>                          |                 |                        |                 |                 |                 |                 |                        |                 |                 |                 |                 |                        |                 |                 |                 |                 |
| Property and equipment, net.                     | 53.0            | 54.0                   | 53.3            | 52.7            | 51.8            | 51.8            | 51.1                   | 50.3            | 49.5            | 48.5            | 48.5            | 47.7                   | 46.7            | 45.8            | 44.6            | 44.6            |
| Right-of-use assets                              | 88.0            | 84.0                   | 84.0            | 84.0            | 84.0            | 84.0            | 84.0                   | 84.0            | 84.0            | 84.0            | 84.0            | 84.0                   | 84.0            | 84.0            | 84.0            | 84.0            |
| Intangible assets, net.                          | 30.0            | 28.0                   | 26.5            | 24.9            | 22.9            | 22.9            | 21.3                   | 19.4            | 17.5            | 15.2            | 15.2            | 13.2                   | 11.0            | 8.8             | 6.0             | 6.0             |
| Deferred tax assets                              | 33.0            | 117.0                  | 117.0           | 117.0           | 117.0           | 117.0           | 117.0                  | 117.0           | 117.0           | 117.0           | 117.0           | 117.0                  | 117.0           | 117.0           | 117.0           | 117.0           |
| Other long-term assets                           | 39.0            | 30.0                   | 30.0            | 30.0            | 30.0            | 30.0            | 30.0                   | 30.0            | 30.0            | 30.0            | 30.0            | 30.0                   | 30.0            | 30.0            | 30.0            | 30.0            |
| Long-term investments                            | 975.0           | 708.0                  | 708.0           | 708.0           | 708.0           | 708.0           | 708.0                  | 708.0           | 708.0           | 708.0           | 708.0           | 708.0                  | 708.0           | 708.0           | 708.0           | 708.0           |
| Equity and other investments                     | 4,582.0         | 3,533.0                | 3,533.0         | 3,533.0         | 3,533.0         | 3,533.0         | 3,533.0                | 3,533.0         | 3,533.0         | 3,533.0         | 3,533.0         | 3,533.0                | 3,533.0         | 3,533.0         | 3,533.0         | 3,533.0         |
| Equity method investment                         | 602.0           | 581.0                  | 581.0           | 581.0           | 581.0           | 581.0           | 581.0                  | 581.0           | 581.0           | 581.0           | 581.0           | 581.0                  | 581.0           | 581.0           | 581.0           | 581.0           |
| Goodwill                                         | 491             | 491                    | 491             | 491             | 491             | 491             | 491                    | 491             | 491             | 491             | 491             | 491                    | 491             | 491             | 491             | 491             |
| <b>Total assets</b>                              | <b>15,189</b>   | <b>14,121</b>          | <b>14,754</b>   | <b>15,504</b>   | <b>16,406</b>   | <b>16,406</b>   | <b>17,407</b>          | <b>18,493</b>   | <b>19,545</b>   | <b>20,612</b>   | <b>20,612</b>   | <b>21,633</b>          | <b>22,590</b>   | <b>23,938</b>   | <b>25,821</b>   | <b>25,821</b>   |
| <b>LIABILITIES</b>                               |                 |                        |                 |                 |                 |                 |                        |                 |                 |                 |                 |                        |                 |                 |                 |                 |
| Accounts payable                                 | 1,075.0         | 1,034.0                | 1,001.8         | 1,037.9         | 1,065.1         | 1,065.1         | 1,143.3                | 1,225.2         | 1,265.0         | 1,274.5         | 1,274.5         | 1,312.0                | 1,316.3         | 1,359.1         | 1,674.2         | 1,674.2         |
| Income taxes payable                             | -               | -                      | -               | -               | -               | -               | -                      | -               | -               | -               | -               | -                      | -               | -               | -               | -               |
| Deferred revenue, current portion                | 300.0           | 321.0                  | 294.5           | 249.5           | 186.1           | 186.1           | 275.6                  | 337.0           | 298.7           | 283.0           | 283.0           | 289.3                  | 241.8           | 291.0           | 259.5           | 259.5           |
| Convertible senior notes                         | -               | -                      | -               | -               | -               | -               | -                      | -               | -               | -               | -               | -                      | -               | -               | -               | -               |
| Lease liabilities, current                       | 17.0            | 16.0                   | 23.1            | 19.8            | 16.0            | 16.0            | 23.6                   | 29.8            | 30.9            | 15.4            | 15.4            | 25.8                   | 26.3            | 27.3            | 39.1            | 39.1            |
| <b>Total current liabilities</b>                 | <b>1,392.0</b>  | <b>1,371.0</b>         | <b>1,319.4</b>  | <b>1,307.3</b>  | <b>1,267.2</b>  | <b>1,267.2</b>  | <b>1,442.5</b>         | <b>1,592.0</b>  | <b>1,594.6</b>  | <b>1,572.9</b>  | <b>1,572.9</b>  | <b>1,627.1</b>         | <b>1,584.3</b>  | <b>1,677.4</b>  | <b>1,972.8</b>  | <b>1,972.8</b>  |
| <b>Long-term Liabilities</b>                     |                 |                        |                 |                 |                 |                 |                        |                 |                 |                 |                 |                        |                 |                 |                 |                 |
| Deferred revenue, net of current portion         | 98.0            | 86.0                   | 78.9            | 66.9            | 49.9            | 49.9            | 73.8                   | 90.3            | 80.0            | 75.8            | 75.8            | 77.5                   | 64.8            | 78.0            | 69.5            | 69.5            |
| Lease liabilities, non-current                   | 171.0           | 163.0                  | 235.3           | 201.7           | 163.3           | 163.3           | 240.5                  | 303.3           | 314.9           | 157.0           | 157.0           | 262.8                  | 267.5           | 277.6           | 398.6           | 398.6           |
| Convertible Senior Notes                         | -               | -                      | 0.6             | 1.2             | 1.8             | 1.8             | 2.4                    | 3.0             | 3.6             | 4.2             | 4.2             | 4.8                    | 5.4             | 6.0             | 6.6             | 6.6             |
| Deferred income tax liability                    | 55.0            | -                      | -               | -               | -               | -               | -                      | -               | -               | -               | -               | -                      | -               | -               | -               | -               |
| <b>Total liabilities</b>                         | <b>1,716.0</b>  | <b>1,620.0</b>         | <b>1,634.2</b>  | <b>1,577.0</b>  | <b>1,482.2</b>  | <b>1,482.2</b>  | <b>1,759.2</b>         | <b>1,988.6</b>  | <b>1,993.2</b>  | <b>1,810.0</b>  | <b>1,810.0</b>  | <b>1,972.2</b>         | <b>1,921.9</b>  | <b>2,039.0</b>  | <b>2,447.6</b>  | <b>2,447.6</b>  |
| <b>Total shareholders equity</b>                 | <b>13,473.0</b> | <b>12,501.0</b>        | <b>13,120.1</b> | <b>13,927.4</b> | <b>14,924.2</b> | <b>14,924.2</b> | <b>15,648.0</b>        | <b>16,504.1</b> | <b>17,552.2</b> | <b>18,801.7</b> | <b>18,801.7</b> | <b>19,661.2</b>        | <b>20,668.3</b> | <b>21,899.3</b> | <b>23,373.5</b> | <b>23,373.5</b> |
| <b>Total liabilities and shareholders equity</b> | <b>15,189.0</b> | <b>14,121.0</b>        | <b>14,754.3</b> | <b>15,504.4</b> | <b>16,406.4</b> | <b>16,406.4</b> | <b>17,407.2</b>        | <b>18,492.7</b> | <b>19,545.4</b> | <b>20,611.7</b> | <b>20,611.7</b> | <b>21,633.4</b>        | <b>22,590.2</b> | <b>23,938.3</b> | <b>25,821.1</b> | <b>25,821.1</b> |

Source: Company Data, Jefferies

## Exhibit 11 - Cash Flow Statement

| Cash Flow Statement                                                               | FY25 End           | Fiscal 2026 by Quarter |                  |                  |                  | FY26 End         | Fiscal 2027 by Quarter |                  |                  |                  | FY27 End         | Fiscal 2028 by Quarter |                  |                  |                   | FY28 End          |
|-----------------------------------------------------------------------------------|--------------------|------------------------|------------------|------------------|------------------|------------------|------------------------|------------------|------------------|------------------|------------------|------------------------|------------------|------------------|-------------------|-------------------|
| (in \$ thousands, except per share data)                                          | 2025               | Mar-26                 | Jun-26E          | Sep-26E          | Dec-26E          | 2026E            | Mar-27E                | Jun-27E          | Sep-27E          | Dec-27E          | 2027E            | Mar-28E                | Jun-28E          | Sep-28E          | Dec-28E           | 2028E             |
| Fiscal Year End: December                                                         |                    | 1Q26                   | 2Q26E            | 3Q26E            | 4Q26E            |                  | 1Q27E                  | 2Q27E            | 3Q27E            | 4Q27E            |                  | 1Q28E                  | 2Q28E            | 3Q28E            | 4Q28E             |                   |
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                                       |                    |                        |                  |                  |                  |                  |                        |                  |                  |                  |                  |                        |                  |                  |                   |                   |
| Net income                                                                        | 1,231,000          | (581,000)              | 539,208          | 660,280          | 959,704          | 1,578,192        | 632,001                | 769,472          | 880,135          | 1,209,883        | 3,491,491        | 773,629                | 927,690          | 1,055,961        | 1,452,187         | 4,209,467         |
| Adjustments to reconcile net income to net cash provided by operating activities: |                    |                        |                  |                  |                  |                  |                        |                  |                  |                  |                  |                        |                  |                  |                   |                   |
| Depreciation and amortization                                                     | 31,000             | 7,000                  | 7,607            | 7,904            | 9,901            | 32,412           | 8,331                  | 9,195            | 9,546            | 11,718           | 38,790           | 9,804                  | 10,810           | 11,221           | 13,809            | 45,644            |
| Non-cash stock-based compensation expense                                         | 449,000            | 132,000                | 133,200          | 131,080          | 133,750          | 530,030          | 144,900                | 139,860          | 137,634          | 140,438          | 562,832          | 152,145                | 146,853          | 144,516          | 147,459           | 590,973           |
| Amortization of debt discount and offering costs                                  | -                  | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Impairment of right-of-use assets and leasehold improvements                      | 13,000             | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Provision for doubtful accounts                                                   | 230,000            | 48,000                 | 53,113           | 124,793          | 45,580           | 271,487          | 53,354                 | 60,035           | 146,400          | 48,638           | 308,427          | 58,348                 | 65,686           | 167,008          | 51,064            | 342,105           |
| Deferred income taxes                                                             | (14,000)           | (139,000)              | -                | -                | -                | (139,000)        | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Vesting of restricted shares                                                      | -                  | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Unrealized loss on embedded derivative                                            | 123,000            | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Unrealized gain on equity and other investments                                   | 153,000            | 1,061,000              | -                | -                | -                | 1,061,000        | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Net loss on equity method investment                                              | 40,000             | 21,000                 | -                | -                | -                | 21,000           | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Unrealized FX loss (gain)                                                         | (57,000)           | 14,000                 | -                | -                | -                | 14,000           | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Other & Revenue from Non-Cash Consideration                                       | (49,000)           | (12,000)               | (112,805)        | (116,302)        | (150,611)        | (391,719)        | (115,828)              | (123,718)        | (127,430)        | (161,836)        | (528,812)        | (138,067)              | (147,473)        | (151,897)        | (192,910)         | (630,347)         |
| Change in working capital                                                         | (117,000)          | (70,000)               | (115,211)        | (213,192)        | 58,415           | (339,987)        | (184,285)              | (18,515)         | (251,809)        | (105,129)        | (559,739)        | (286,984)              | (32,600)         | (161,015)        | (74,207)          | (554,805)         |
| <b>Net cash provided by operating activities</b>                                  | <b>2,033,000</b>   | <b>481,000</b>         | <b>505,113</b>   | <b>594,563</b>   | <b>1,056,739</b> | <b>2,637,415</b> | <b>538,474</b>         | <b>836,328</b>   | <b>794,476</b>   | <b>1,143,710</b> | <b>3,312,988</b> | <b>568,875</b>         | <b>970,965</b>   | <b>1,065,794</b> | <b>1,397,403</b>  | <b>4,003,037</b>  |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>                                       |                    |                        |                  |                  |                  |                  |                        |                  |                  |                  |                  |                        |                  |                  |                   |                   |
| Purchase of marketable securities                                                 | (7,040,000)        | (843,000)              | -                | -                | -                | (843,000)        | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Maturity of marketable securities                                                 | 6,552,000          | 1,463,000              | -                | -                | -                | 1,463,000        | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Equity and other investments                                                      | (99,000)           | (1,000)                | -                | -                | -                | (1,000)          | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Acquisitions of PP&E                                                              | (26,000)           | (5,000)                | (5,434)          | (5,646)          | (7,072)          | (23,151)         | (5,951)                | (6,568)          | (6,819)          | (8,370)          | (27,707)         | (7,003)                | (7,721)          | (8,015)          | (9,864)           | (32,603)          |
| Acquisition of intangible assets                                                  | -                  | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Acquisition of businesses, net cash                                               | (56,000)           | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Purchases and originations of loans                                               | -                  | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Repayments and sales of loans                                                     | -                  | (306,000)              | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Other                                                                             | (434,000)          | 2,000                  | -                | -                | -                | 2,000            | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| <b>Net cash provided by investing activities</b>                                  | <b>(1,190,000)</b> | <b>310,000</b>         | <b>(5,434)</b>   | <b>(5,646)</b>   | <b>(7,072)</b>   | <b>291,849</b>   | <b>(5,951)</b>         | <b>(6,568)</b>   | <b>(6,819)</b>   | <b>(8,370)</b>   | <b>(27,707)</b>  | <b>(7,003)</b>         | <b>(7,721)</b>   | <b>(8,015)</b>   | <b>(9,864)</b>    | <b>(32,603)</b>   |
| <b>CASH FLOWS FROM FINANCING ACTIVITIES</b>                                       |                    |                        |                  |                  |                  |                  |                        |                  |                  |                  |                  |                        |                  |                  |                   |                   |
| Proceeds from IPO and other share offerings, net                                  | -                  | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Proceeds from Convertible senior notes, net                                       | -                  | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Proceeds from follow-on offering                                                  | -                  | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Proceeds from stock options                                                       | 232,000            | 6,000                  | 7,000            | 8,000            | 9,000            | 30,000           | 10,000                 | 11,000           | 12,000           | 13,000           | 46,000           | 14,000                 | 15,000           | 16,000           | 17,000            | 62,000            |
| Maturities of convertible senior notes                                            | -                  | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Repurchase of common stock                                                        | -                  | (491,000)              | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Other                                                                             | -                  | -                      | -                | -                | -                | -                | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| <b>Net cash provided by financing activities</b>                                  | <b>(811,000)</b>   | <b>(485,000)</b>       | <b>7,000</b>     | <b>8,000</b>     | <b>9,000</b>     | <b>(461,000)</b> | <b>10,000</b>          | <b>11,000</b>    | <b>12,000</b>    | <b>13,000</b>    | <b>46,000</b>    | <b>14,000</b>          | <b>15,000</b>    | <b>16,000</b>    | <b>17,000</b>     | <b>62,000</b>     |
| Effect of exchange rate                                                           | 15,000             | (3,000)                | -                | -                | -                | (3,000)          | -                      | -                | -                | -                | -                | -                      | -                | -                | -                 | -                 |
| Net change in cash                                                                | 47,000             | 303,000                | 506,679          | 596,917          | 1,058,667        | 2,465,263        | 542,523                | 840,760          | 799,657          | 1,148,340        | 3,331,281        | 575,872                | 978,244          | 1,073,779        | 1,404,539         | 4,032,434         |
| Cash and cash equivalents, beginning of period                                    | 1,498,000          | 1,545,000              | 1,848,000        | 2,354,679        | 2,951,596        | 1,545,000        | 4,010,263              | 4,552,786        | 5,393,547        | 6,193,204        | 4,010,263        | 7,341,544              | 7,917,416        | 8,895,660        | 9,969,438         | 7,341,544         |
| <b>Cash and cash equivalents, end of period</b>                                   | <b>1,545,000</b>   | <b>1,848,000</b>       | <b>2,354,679</b> | <b>2,951,596</b> | <b>4,010,263</b> | <b>4,010,263</b> | <b>4,552,786</b>       | <b>5,393,547</b> | <b>6,193,204</b> | <b>7,341,544</b> | <b>7,341,544</b> | <b>7,917,416</b>       | <b>8,895,660</b> | <b>9,969,438</b> | <b>11,373,978</b> | <b>11,373,978</b> |

Source: Company Data, Jefferies

| Discounted Cash Flow          |              |
|-------------------------------|--------------|
| Sum of discounted cash flows  | 28,536       |
| Terminal value, discounted    | 151,484      |
| Less: net debt                | (5,564)      |
| Target equity value           | 185,584      |
| <b>DCF-based target price</b> | <b>\$142</b> |

|                           |         |
|---------------------------|---------|
| Terminal value            | 323,276 |
| Terminal value discounted | 151,484 |

Please see important disclosure information on pages 11 - 16 of this report.

## Company Description

### Shopify

Shopify provides a cloud-based e-commerce platform for merchants of all sizes, with a particular focus on SMBs. Merchants can use Shopify to build and manage their online businesses and sell across multiple channels and devices. The company also offers Shopify Plus, a more robust version of its platform targeted at larger merchants. Shopify was founded in 2004, became public in 2015, and is headquartered in Ottawa, Ontario, Canada.

## Company Valuation/Risks

### Shopify

**Valuation.** Our price target is based on our DCF analysis. Risks include competition, the macro environment, a significant mix-shift back to brick and mortar, and a rapid rise in interest rates.

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## Investment Recommendation Record

### (Article 3(1)e and Article 7 of MAR)

Recommendation Published July 10, 2026 15:42 P.M.

Recommendation Distributed July 12, 2026 17:00 P.M.

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Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

## Distribution of Ratings

|              |       |         | IB Serv./Past12 Mos. |         | JIL Mkt Serv./Past12 Mos. |         |
|--------------|-------|---------|----------------------|---------|---------------------------|---------|
|              | Count | Percent | Count                | Percent | Count                     | Percent |
| BUY          | 2232  | 62.52%  | 386                  | 17.29%  | 110                       | 4.93%   |
| HOLD         | 1175  | 32.91%  | 95                   | 8.09%   | 16                        | 1.36%   |
| UNDERPERFORM | 163   | 4.57%   | 1                    | 0.61%   | 1                         | 0.61%   |

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